CELLO

Jumbo Conforming Mortgage Rates

March 2017

Fannie Mae and Freddie Mac are prohibited from purchasing mortgages that have balances greater than a specific amount called the **conforming loan limit**.

The housing crisis of 2007-2009 resulted in temporary increases in loan limits so that the GSEs could support a broader range of residential mortgages, particularly the prime jumbo market.

Regulation passed in 2008 created a two-tier system of conforming loan limits – a **Baseline** and a **High-Cost** limit.

Mortgages that meet GSE underwriting guidelines and that have loan balances between the Baseline and a High-Cost limit are known as **jumbo-conforming mortgages**.

Baseline National Conforming Loan Limit

- Baseline loan limit was raised to $424,100 in January 2017
- Adjusted annually using an HPI calculated by FHFA
- Prior house price declines must be fully offset before a loan limit is increased
- 3Q 2016 HPI was approximately 1.7% above price levels in Q3 2007

Loan Limits in High-Cost Areas

- Loan limits are a function of local-area median home values
- If 115% local median home value exceeds baseline loan limit, local loan limit = 115% of the median home value
- Cap is $636,150 (150% of $424,100)

Exceptions

- Baseline loan limits for Alaska, Hawaii, Guam and the U.S. Virgin Islands are set at 150% of the baseline limit for the contiguous United States
- Multifamily homes have higher loan limits

Securitization of jumbo conforming loans commenced in 2008 with the expansion of conforming loan limits. Jumbo conforming loans can currently be pooled into either TBAs (up to a maximum of 10%) or Specified Pools.

History

- Jumbo conforming mortgages can be pooled into TBAs (FNMA: CL, FHLMC: FGLMC) as of late-2008
- Can be pooled into Agency specified pools as of mid-2008 (FNMA: CK, FHLMC: T6)

Factors Affecting Jumbo Conforming Mortgage Rates

- Jumbo-conforming loans can be pooled into TBAs up to a maximum of 10% a pool. These loans are eligible for the same rate as a standard conforming borrower.
- Specified pools backed by Jumbo conforming mortgages trade about ~1 point behind TBAs (approximately 25bps in yield space)
- Jumbo-conforming loans have better credit characteristics than the standard conforming borrower.
- Jumbo-conforming loans are subject to a special LLPA charge that is specific to their loan size. This LLPA adjustment was introduced in September 2015 for Purchase & Cash-out mortgages. It corresponds to a price adjustment of 0.25%.

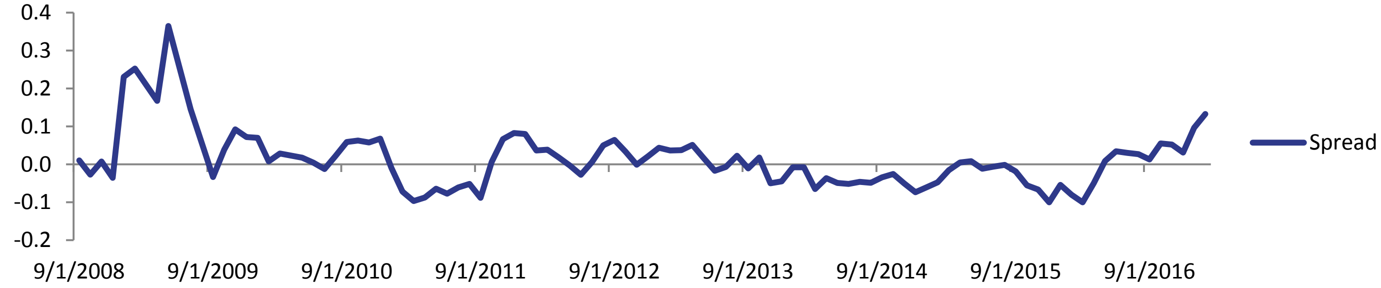
The Rate Spread between Conforming and Jumbo Conforming mortgage rates for a given month is calculated by separating all loans in FNCL, FGLMC, FNCK and FGT6 pools issued in that month into two groups: high balance loans (Loan size > conforming loan limit) and low balance loans (Loan size <= conforming loan limit).

We also make the following assumptions to control for borrower characteristics:

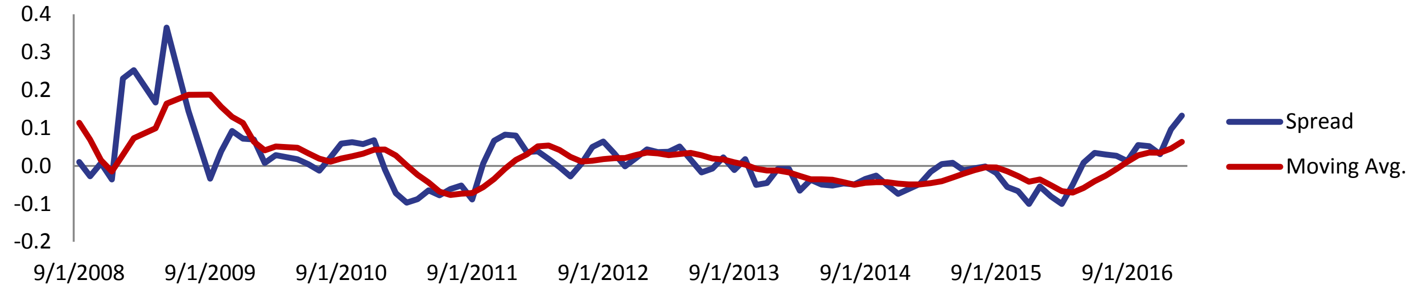
- Loan age <= 1 month
- Number of units = 1
- Original LTV <= 80%

The Jumbo Conforming mortgage rate is then calculated by adding the 6-month WAC spread onto the PMMS rate.

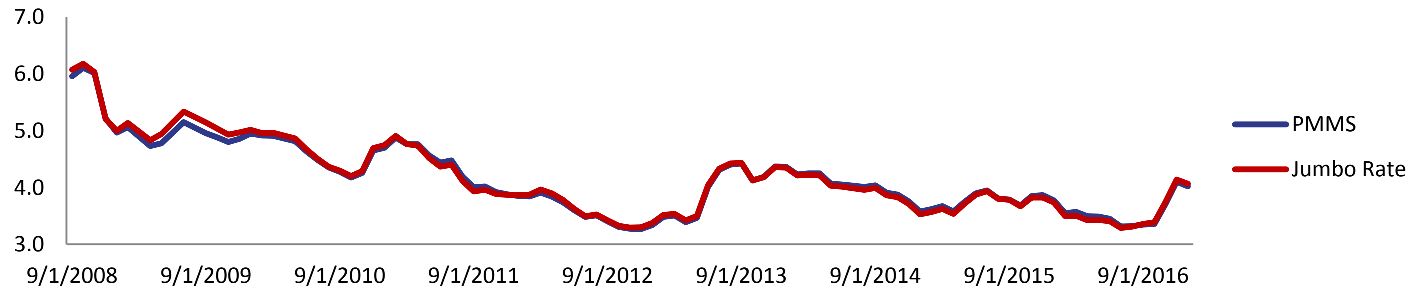
1 Get the Rate Spread for loans with loan size > Loan Limit and loan size <= Loan Limit



2 6-month moving average of WAC Spread



3 $Jumbo\ Mortgage\ Rate = PMMS + WAC\ Spread_{6m\ Moving\ Average}$



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